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RBA bombshell exposes grim reality for Chalmers

A week out from Jim Chalmers' economic roundtable, the Reserve Bank has pulled back the curtain on the Australian economy.



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Updated Aug 12, 2025 – 5.08pm,
first published at 3.37pm

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Lower pay rises, weaker consumer spending, softer business profits and a handbrake on living standards. That's the bleak outlook for

Australia as the nation's productivity slumps ahead of Treasurer Jim Chalmers' economic roundtable next week, according to the Reserve Bank of Australia.

For the first time since the pandemic, the RBA has slashed the economy's medium-term growth potential [https://www.afr.com/policy/economy/rba-issues-shock-warning-of-a-poorer-australia-as-it-cuts-rates-20250812-p5mm85], cutting its labour productivity growth assumption to 0.7 per cent from a previous overly rosy 1 per cent.

Even resorting to the 20-year average productivity growth could be too optimistic, given productivity has been stagnant since 2016.

Under this grim reality – which Australians have already been experiencing – the RBA is

conceding that people will enjoy a slower improvement in living standards than their forebears.

Economic growth per person and real income gains will be lower than past generations enjoyed.

“Lower productivity growth means slower growth in business revenues, household incomes and ultimately demand,” the RBA’s quarterly statement on monetary policy says.

RBA governor Michele Bullock said weaker productivity growth was “already being felt in that real wages are not rising very much”.

In a message to the union movement and employers, the RBA says that as a result, average annual earnings cannot sustainably

grow more than 3.2 per cent – down from the previously assumed 3.5 per cent – without stoking inflation.



Moreover, weak productivity growth means the economy can only grow at a mediocre 2 per cent a year, the RBA warned.

This is at least 50 per cent slower than the stellar 3 per cent to 4 per cent economic growth rate from the 1990s to the mid-2000s,

more than half of which was generated by Australia's world-leading productivity performance under the Keating and Howard governments.

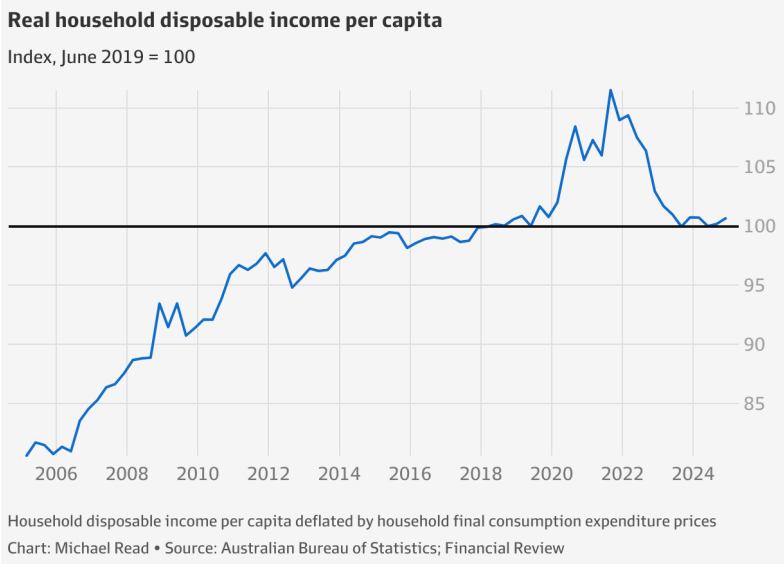
Productivity grew at an incredibly fast 2 per cent to 2.5 per cent annually.

The past golden era was underwritten by the computer and internet revolution, and a series of major economic reforms in tax, competition and labour markets, which lifted Australia's per-person incomes to among the highest in the world by the turn of the century.

Productivity measures how much output the economy creates for a given quantity of inputs, such as capital, natural resources and labour.

As productivity increases, the economy can produce more goods and services for a given set of scarce resources.

It is the secret sauce that allows workers to earn higher real pay, consumers to enjoy lower prices, and businesses to make higher profits.



Treasury has long assumed economic

growth comes from the three Ps: population, participation and productivity.

Participation has been largely tapped out, following a significant increase in women's workforce participation.

Productivity has been stagnant for about nine years.

Hence, most of the economy's growth now comes from population increases, largely due to immigration, which the RBA assumes delivers about 1.3-1.4 per cent GDP growth (about 70 per cent of total economic growth).

But population growth does nothing to improve per-person living standards.

The economic pie is growing mainly due to population increases, but the pieces of the

pie are barely growing in per-person terms.

While Bullock emphasised the RBA's productivity assumption was only for the next two years, it is hard to be optimistic of productivity rebounding to Treasury's long-term annual projection of 1.2 per cent.

This is Australia's post-pandemic reality that must be confronted by Chalmers, business, unions and community groups at the three-day economic roundtable.

They will discuss economic resilience, productivity and fiscal sustainability, including the tax system.

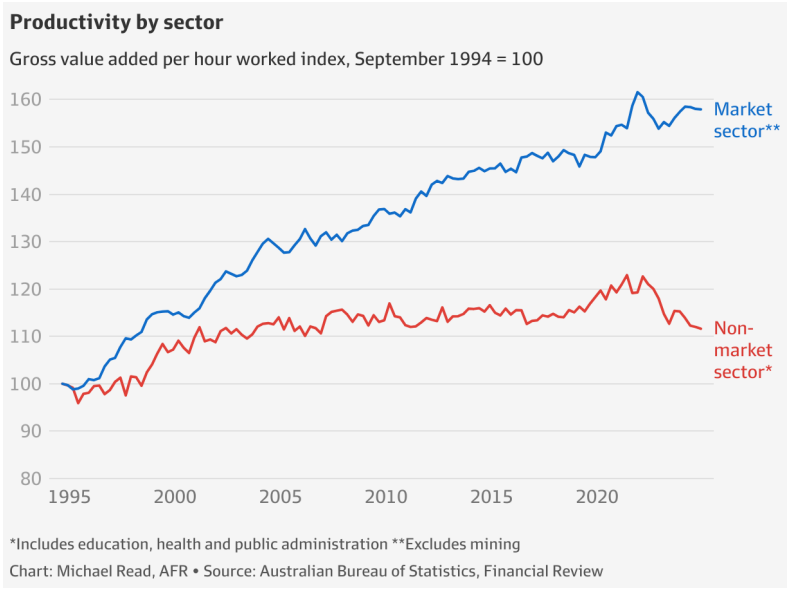
The RBA's reality check should make the roundtable an all-out assault on efforts to lift stagnant productivity to revive living standards, particularly for younger and

future generations.

To be sure, the productivity problem is global and central banks in the United Kingdom, Canada and New Zealand have also downgraded the productivity outlook.

The reasons are complex.

In Australia, the post-pandemic productivity slump is largely due to millions of workers being deployed to the non-market “care” economy, which has recorded no productivity gains in two decades. This is jobs in disability support, aged care, healthcare, education and bureaucracy.



There are other reasons for the multi-decade productivity decline.

Non-mining business investment since the 2008 global financial crisis has slumped to levels not far above early 1990s recession levels as a share of GDP. Fewer new tools and technologies in the hands of workers makes them less productive in producing goods and services.

Productivity Commission chairwoman Danielle Wood blames at least five factors: the rise of the non-market services sector dominated by the care economy; smaller gains from technology; stalling investment; declining economic dynamism; and, finally, lack of appetite for economic policy reform.

“Governments’ appetite for reform has diminished since then [the 1990s], and this means we’re leaving productivity-enhancing reforms on the table,” Wood said last month.

Artificial intelligence in the workplace offers new productivity possibilities, but technology adoption alone cannot solely be relied upon.

Chalmers and his fellow travellers must confront what is in the government’s policy control and use the RBA’s productivity

bombshell as the burning platform for reforms to lift living standards.

Australians deserve a brighter future than the grim new reality.

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